

CONFIDENTIAL — INVESTOR LETTER

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To: Limited Partners, Meridian Industrials Fund IV From: Henrik Vossberg, Partner; Caroline Achterberg, Partner Date: 22 January 2026 Re: Realisation — Project Northstar (NorTech Industries AB)

Dear Partners,

We are pleased to inform you that Meridian Industrials Fund IV ("Fund IV") has completed the sale of NorTech Industries AB ("NorTech" or "the Company") to Brookfield Asset Management for an enterprise value of SEK 18.4 billion (approximately EUR 1.62 billion). The transaction closed on 19 January 2026. This letter sets out the headline outcomes, the value creation journey, and the lessons we are taking forward.

HEADLINE OUTCOMES

The sale of NorTech generates gross proceeds to Fund IV of SEK 12.8 billion (approximately EUR 1.13 billion) on invested capital of SEK 3.6 billion (approximately EUR 318 million). This represents a gross multiple on invested capital ("MOIC") of 3.56x and a gross internal rate of return ("IRR") of 31.4% over a hold period of 4.7 years. Net to LPs, after Meridian carry and fund expenses, the realisation delivers a 2.74x net MOIC and a 24.2% net IRR.

NorTech is the largest single realisation in Fund IV's history. The exit moves Fund IV's overall net IRR from 16.8% to 19.7% and net DPI from 0.62x to 0.94x. With three remaining portfolio companies and approximately SEK 2.1 billion of unrealised value, Fund IV is now solidly tracking to deliver above the 2.5x net MOIC target communicated at fund close.

INVESTMENT BACKGROUND

We acquired NorTech in May 2021 in a competitive process led by SEB. The Company is a Stockholm-headquartered manufacturer of energy-efficient industrial heating and cooling systems used primarily in food processing and pharmaceutical manufacturing. At the time of our investment, the Company generated revenue of SEK 4.2 billion and EBITDA of SEK 480 million, representing an EBITDA margin of 11.4%.

Our entry valuation of 9.2x EBITDA reflected what we viewed as a fundamentally undervalued asset trading at a discount to peers due to (a) limited international exposure, with over 80% of revenue generated in the Nordic region, (b) under-investment in product modularity, and (c) a complex shareholder structure with three separate Swedish family holdings that constrained strategic flexibility.

VALUE CREATION JOURNEY

Over the 4.7-year hold, we executed against a four-pillar value creation plan.

International expansion. At entry, the Company generated SEK 3.4 billion (81%) of revenue from the Nordic region. We made meaningful investment in commercial capability in Germany, France, and the United Kingdom, opening dedicated offices in each market and recruiting country managers from larger competitors. By the time of exit, international revenue had grown to SEK 4.8 billion, representing 42% of total revenue. Total Company revenue at exit was SEK 11.4 billion.

Product modularity programme. We invested SEK 380 million over three years to redesign the core product platform on a modular architecture, allowing for faster customer-specific configuration and a 30% reduction in engineering hours per order. This investment was completed in late 2024 and is now contributing visibly to gross margin (which improved from 28.4% at entry to 34.1% at exit).

M&A. We completed four bolt-on acquisitions over the hold period for a combined enterprise value of SEK 1.8 billion. The most significant was the acquisition of HeatTech GmbH in March 2023 for SEK 1.1 billion, which added German market presence and a complementary high-temperature product line. All four acquisitions are tracking ahead of our underwriting on a synergy basis.

Operational improvement. Working alongside the management team, we executed a multi-year manufacturing footprint optimisation, consolidating four Swedish facilities into two and relocating component assembly to a new Polish facility opened in 2023. Combined with the modularity programme, this drove EBITDA margins from 11.4% at entry to 18.2% at exit. Absolute EBITDA grew from SEK 480 million to SEK 2.08 billion over the hold.

EXIT PROCESS

We launched the exit process in September 2025 with Goldman Sachs as lead advisor. The process attracted strong interest from both strategic and financial buyers, with seven parties submitting preliminary offers and four progressing to confirmatory diligence. Brookfield's binding offer of SEK 18.4 billion was meaningfully ahead of the next bid (SEK 16.9 billion from a US-headquartered strategic). Brookfield's commitment to retain the Stockholm headquarters and the existing management team was an additional factor in the Company's preference. CEO Magnus Karlsson and the management team supported the Brookfield offer at the indicative stage.

The transaction closed on a clean basis with no surviving indemnities of material consequence and customary purchase price adjustments. Net proceeds were distributed to Fund IV on 20 January and will flow to LPs as part of the Q1 2026 distribution cycle.

LESSONS

A few reflections from the journey are worth sharing.

The modularity investment was larger and took longer than originally planned. Our underwriting envisaged a SEK 220 million spend over two years; we ultimately spent SEK 380 million over three. We took the right decision to extend, because the eventual gross margin uplift fully justified it, but we should have signalled the larger envelope at IC rather than discovering it mid-hold.

International expansion was easier than expected in Germany and France, harder in the UK. In retrospect we under-resourced the UK launch in year one and lost roughly 12 months. We have applied this lesson to subsequent investments by front-loading commercial capability in the critical first 18 months.

The HeatTech acquisition was the right deal at the right price, but the integration took longer than scoped. We are now consistently building 18-month rather than 12-month integration plans for sub-scale add-ons.

The relationship with the founding families was managed well throughout. Mikael Bergström, the chairman representing the founding interests, was an outstanding partner and we have stayed in close contact with him. Two of the three families have indicated interest in co-investing alongside

Meridian in future Nordic opportunities.

LOOKING FORWARD

With this realisation, Fund IV becomes one of our strongest vintages on a returns basis. Our focus now turns to the three remaining portfolio companies and to deployment of Fund V, which closed in August 2025 at hard cap.

We are grateful for your partnership and your patience over the NorTech hold. We look forward to discussing the exit in more detail at the Annual LP Meeting in March.

With kind regards,

Henrik Vossberg Partner, Head of European Industrials

Caroline Achterberg Partner

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